

October 5, 2026 04:01 AM GMT

Lam Research Corp | North America

The big GAA winner

WHAT'S CHANGED		
Lam Research Corp (LRCX.O)	From	To
Price Target	\$367.00	\$385.00

We're more confident than ever on the durability of LAM's leading logic share gain and raise system shipments to 50% growth in CY26 and 47% in CY27. Reiterate OW.

Key Takeaways

- We expect a solid DecQ beat, with MSe at \$9.0bn versus Street at \$8.5bn, and risk skewed to the upside.
- We estimate LAM has increased their share by 200bp from 3nm to 2nm.

DecQ Beat & Raise. The SPE industry has blown past demand (cleanroom) and supply (supply chain) constraints, as we expect the WFE run-rate to surpass \$200bn (+60% y/y) in the DecQ. LAM is set to be the fastest grower for the 3rd year in a row. Given the unprecedented scale of pull-ins, especially in DRAM and 2nm logic, as well as LAM's execution, we would not rule out the possibility of LAM guiding DecQ ahead of \$9bn (MSe).

The big GAA winner. LAM gained approximately 300bp of logic share in 2025, and we believe the company is on track to gain another ~80bp in 2026. We were skeptical on the durability of LAM's logic share gains, given that 2025 growth was partially driven by China (MSe 39% y/y). However, we're more confident than ever on the durability of LAM's leading logic share gain. **We estimate LAM has gained approx. 200bp of share from 3nm to 2nm.** LAM's WFE per wafer at 2nm increased approx. 50% vs 3nm, compared with an approx. 30% increase in overall WFE spending per wafer. LAM's estimated 2026 logic share of 11.8% is now approaching its overall WFE share of 12.3%, reflecting the company's portfolio transformation from a heavy NAND skew toward a more diversified end-market mix.

We raise our CY27 forecast from \$39.6bn/\$11.26 to \$40.5bn/\$11.58 as our system shipment forecast comes up from 45% to 47%. Our target multiples for AMAT and KLA imply a 20% premium to the average since 2020 but our new target multiple for LAM of 27x implies a 25% premium given the magnitude of share gains, which brings up our PT from \$367 to \$385.

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Lam Research Corp (LRCX.O, LRCX US)	
Semiconductor Capital Equipment United States of America	
Stock Rating	Overweight
Industry View	In-Line
Price target	\$385.00
Shr price, close (Oct 2, 2026)	\$347.49
Mkt cap, curr (mm)	\$436,893
52-Week Range	\$438.50-131.02

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
EPS (\$) **	5.82	10.04	13.01	14.96
Prior EPS (\$) **	-	9.83	12.37	13.48
P/E	74.4	34.6	26.7	23.2
EPS (\$) §	5.69	9.42	11.54	13.66
Div yld (%)	0.2	0.3	0.4	0.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)					
Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	1.27	2.16	2.16	2.93	3.00
Q2	1.27	2.34	2.42	3.00	3.11
Q3	1.47	2.55	2.62	3.19	3.36
Q4	1.82	2.78	2.84	3.25	3.54

e = Morgan Stanley Research estimates

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Lam Research Corp LRCX.O

- DecQ Guide
- ↑ Very likely upside surprise
- ↑ Meaningful revision higher
- We expect a solid DecQ beat, with MSe at \$9.0bn versus Street at \$8.5bn, and risk skewed to the upside.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Logic Share Gain

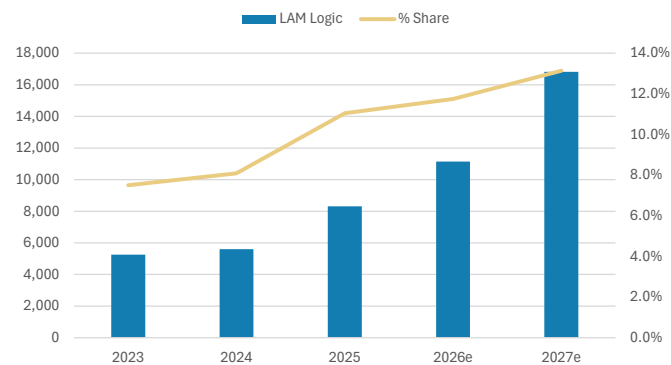
LAM gained approximately 300bp of logic share in 2025, and we believe the company is on track to gain another ~80bp in 2026. LAM's estimated 2026 logic share of 11.8% is now approaching its overall WFE share of 12.3%, reflecting the company's portfolio transformation from a heavy NAND skew toward a more diversified end-market mix.

We had questioned the durability of LAM's logic share gains, given that 2025 growth was partially driven by China, where we estimate the company's foundry/logic revenue grew 39% y/y. However, our analysis of LAM's 2026 foundry/logic revenue suggests the company was the big GAA winner:

- **TSMC 2nm:** We estimate LAM has gained approx. 200bp of share from 3nm to 2nm. LAM's WFE per wafer at 2nm increased approx. 50% versus 3nm, compared with an approx. 30% increase in overall WFE spending per wafer.
- **TSMC Overall:** We estimate LAM's share of TSMC capex increases approx. 10bp from FY25 to FY26, followed by a more meaningful ~130bp increase into 2027.
- **China vs. Non-China:** Following a strong 2025, when we estimate LAM's China logic revenue grew 39%, growth has decelerated significantly in 2026 (MSe: 10%). In contrast, non-China logic growth has remained elevated, at 59% in 2025 and 56% in 2026, supporting our view that LAM's logic share gains are broadening beyond China.

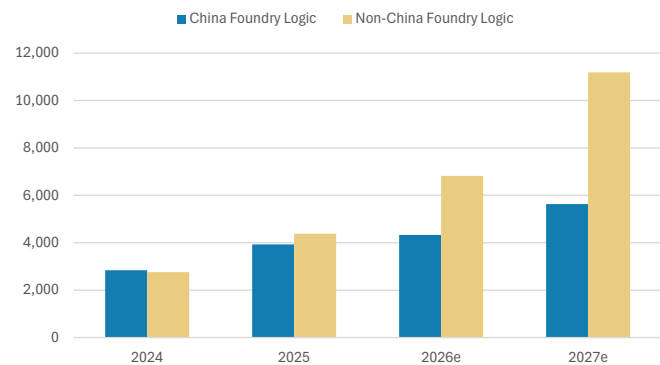
Given LAM's share gains at 2nm, we are increasingly confident the company can outgrow logic WFE in 2027.

Exhibit 1: LAM gained approximately 300bp of logic share in 2025, and we believe the company is on track to gain another ~80bp in 2026



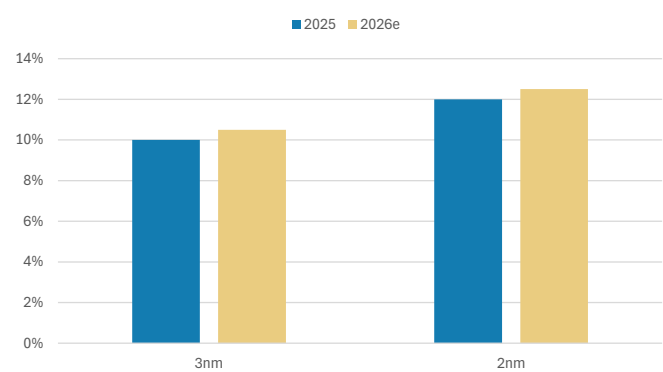
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 2: We had questioned the durability of LAM's logic share gains, given that 2025 growth was partially driven by China



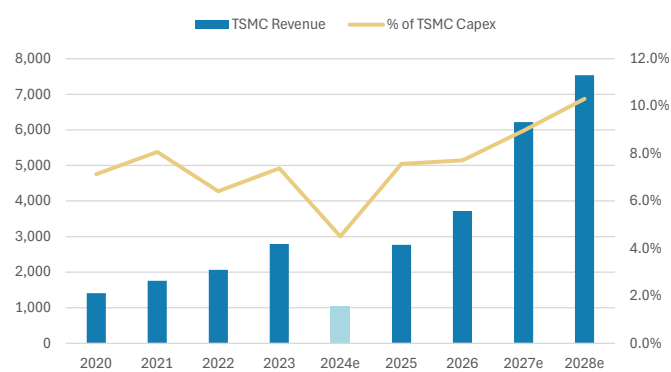
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 3: However, we estimate LAM has gained approximately 200bp of share from 3nm to 2nm.



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 4: We model LAM's share of TSMC capex to meaningfully accelerate in FY27



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Risk Reward – Lam Research Corp (LRCX.O)

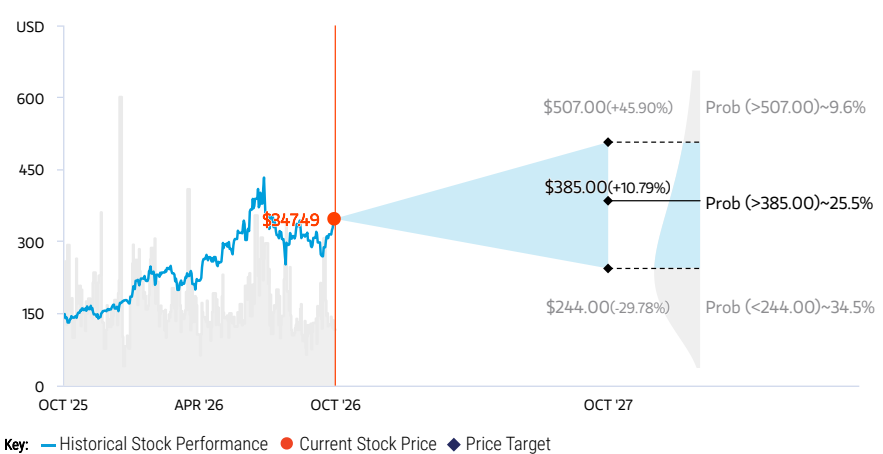
WFE outperformance intact with NAND & Logic

PRICE TARGET \$385.00

27x CY28 non-GAAP EPS of \$14.26, a 25% premium to average since 2020



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



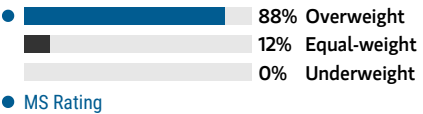
Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 2 Oct 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

■ After shipments underperformed WFE by 33ppt in 2023 due to a cyclical decline in NAND and China entity list impact, LAM outperformed WFE by 8ppt in 2024 and we estimate another 27ppt outperformance in 2025 driven by NAND, China, and TSMC. We model LAM's system shipments to outperform WFE in 2026 & 2027 for the 3rd and 4th consecutive year as NAND and non-China foundry logic continues to strengthen.

■ LAM has unique drivers supporting the long-term growth story as the company is seeing gross margin expansion from shifting manufacturing to Malaysia, is positioned well to gain share with the 4F2 transition in DRAM and in advanced packaging.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$507.00	BASE CASE	\$385.00	BEAR CASE	\$244.00
~31x CY28 non-GAAP EPS \$16.35		~27x CY28 non-GAAP EPS of \$14.26		~19x CY28 non-GAAP EPS of \$12.86	
DRAM and NAND pricing and utilization improve further than expected, and LAM sees record revenue in CY27. The company sees revenue growth exceed WFE on the back of market share gains in leading edge nodes.		We expect LAM to outperform in 2026-27 on the back of NAND and foundry logic strength.		Memory markets turn weaker and LAM loses share to competitors.	
- Revenue growth of 30.7% in CY28 as LAM benefits from NAND WFE growth and market share gains		- Revenue growth of 17.8% in CY28 driven by NAND and foundry logic		- Revenue growth of 8.9% in CY28 as memory recovery more muted than expected	
- GM expands to 54.8% in CY28		- CY28 GM of 53.8% as regional mix deterioration is offset by top-line growth		- GM of 53.1% in CY28	

Risk Reward – Lam Research Corp (LRCX.O)

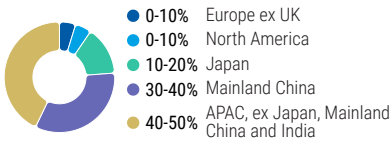
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
GAAP Revenue (\$, mm)	23,233	36,580	44,316	49,486
MW Gross Margin (%)	50.6	52.5	53.5	54.0
Non-GAAP EPS (\$)	5.82	10.04	13.01	14.96
Inventory (\$, mm)	4,276	5,754	6,415	6,426
DOI	133.8	118.9	112.2	101.5

INVESTMENT DRIVERS

- NAND WFE market trends (LAM has outsized share)
- Market share gains from new logic architectures (GAA, backside power)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gains in new logic architectures (GAA, backside power)
- NAND capex recovers to new highs
- Continued share gains in China

RISKS TO DOWNSIDE

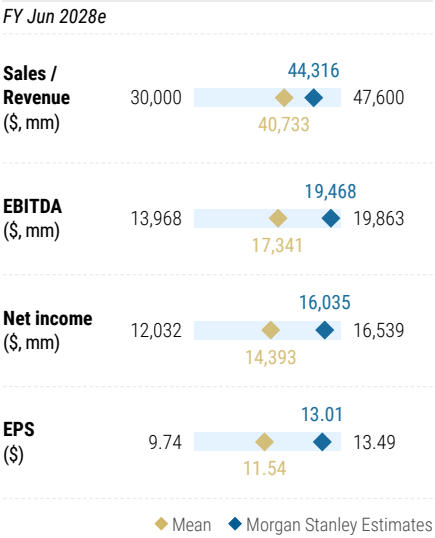
- NAND WFE weaker than expected
- Widespread export restrictions to China
- Market share loss to competitors in etch

OWNERSHIP POSITIONING

Inst. Owners, % Active	48.3%	
HF Sector Long/Short Ratio	2.2x	
HF Sector Net Exposure	30.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS



Source: Refinitiv, Morgan Stanley Research

Financial Statements

Exhibit 5: LRCX: Projected Income Statement

Lam Research Corporation Income Statement (\$ in millions; fiscal year ends in June)	C3Q25A Sep-25	C4Q25A Dec-25	C1Q26A Mar-26	C2Q26A Jun-26	C3Q26E Sep-26	C4Q26E Dec-26	C1Q27E Mar-27	C2Q27E Jun-27	C3Q27E Sep-27	C4Q27E Dec-27	C1Q28E Mar-28	C2Q28E Jun-28	CY2024 Dec-24	CY2025 Dec-25	CY2026 Dec-26	CY2027 Dec-27	CY2028 Dec-28
Revenues - GAAP	\$ 5,324.2	\$ 5,344.8	\$ 5,841.5	\$ 6,722.2	\$ 8,131.6	\$ 9,000.8	\$ 9,441.2	\$ 10,005.9	\$ 10,424.7	\$ 10,651.4	\$ 11,356.0	\$ 11,883.5	\$ 16,209.1	\$ 20,560.5	\$ 29,696.2	\$ 40,523.3	\$ 47,719.2
q/q change (%)	3.0%	0.4%	9.3%	15.1%	21.0%	10.7%	4.9%	6.0%	4.2%	2.2%	6.6%	4.6%	13.2%	26.8%	44.4%	36.5%	17.8%
y/y change (%)	27.7%	22.1%	23.8%	30.0%	52.7%	68.4%	61.6%	48.8%	28.2%	18.3%	20.3%	18.8%					
COGS - GAAP	2,639.3	2,693.6	2,931.0	3,243.5	3,921.8	4,312.0	4,475.1	4,712.8	4,878.8	4,952.9	5,257.8	5,502.1	8,492.8	10,321.1	14,408.2	19,019.6	22,045.0
% of revenue	49.6%	50.4%	50.2%	48.3%	48.2%	47.9%	47.4%	47.1%	46.8%	46.5%	46.3%	46.3%	52.4%	50.2%	48.5%	46.9%	46.2%
COGS - non-GAAP	2,630.6	2,684.9	2,928.4	3,224.9	3,903.2	4,293.4	4,475.1	4,712.8	4,878.8	4,952.9	5,257.8	5,502.1	8,398.8	10,293.7	14,349.9	19,019.6	22,045.0
% of revenue	49.4%	50.2%	50.1%	48.0%	48.0%	47.7%	47.4%	47.1%	46.8%	46.5%	46.3%	46.3%	51.8%	50.1%	48.3%	46.9%	46.2%
Gross profit - GAAP	2,684.9	2,651.2	2,910.5	3,478.7	4,209.9	4,688.8	4,966.1	5,293.1	5,546.0	5,698.5	6,098.2	6,381.4	7,716.3	10,239.4	15,288.0	21,503.7	25,674.2
Gross margin (%)	50.4%	49.6%	49.8%	51.7%	51.8%	52.1%	52.6%	52.9%	53.2%	53.5%	53.7%	53.7%	47.6%	49.8%	51.5%	53.1%	53.8%
Gross profit - non-GAAP	2,693.6	2,659.9	2,913.1	3,497.3	4,228.5	4,707.4	4,966.1	5,293.1	5,546.0	5,698.5	6,098.2	6,381.4	7,810.3	10,266.8	15,346.4	21,503.7	25,674.2
Gross margin (%)	50.6%	49.8%	49.9%	52.0%	52.0%	52.3%	52.6%	52.9%	53.2%	53.5%	53.7%	53.7%	48.2%	49.9%	51.7%	53.1%	53.8%
R&D - GAAP	576.4	573.3	583.2	642.9	686.1	759.5	777.8	794.3	822.3	829.5	873.1	913.6	2,000.4	2,255.8	2,671.8	3,223.9	3,656.4
R&D - non-GAAP	565.6	565.3	585.4	614.3	686.1	759.5	777.8	794.3	822.3	829.5	873.1	913.6	1,959.9	2,228.8	2,645.3	3,223.9	3,656.4
% of revenue	10.6%	10.6%	10.0%	9.1%	8.4%	8.4%	8.2%	7.9%	7.9%	7.8%	7.7%	7.7%	12.1%	10.8%	8.9%	8.0%	7.7%
SG&A - GAAP	279.3	267.7	280.3	322.3	341.1	368.6	367.7	369.7	374.7	377.6	396.9	403.4	919.7	1,041.4	1,312.3	1,489.7	1,619.0
SG&A - non-GAAP	266.3	262.1	280.7	302.1	320.9	348.4	347.5	349.5	354.5	357.4	376.7	383.2	883.5	1,016.3	1,252.2	1,408.9	1,538.2
% of revenue	5.0%	4.9%	4.8%	4.5%	4.2%	4.1%	3.9%	3.7%	3.6%	3.5%	3.5%	3.4%	5.5%	4.9%	4.2%	3.5%	3.2%
Operating expenses - GAAP	855.8	841.0	863.5	965.3	1,027.2	1,128.0	1,145.5	1,164.0	1,197.0	1,207.1	1,269.9	1,317.0	2,934.5	3,297.3	3,984.1	4,713.6	5,275.4
Operating expenses - non-GAAP	831.9	827.5	866.2	916.4	1,007.1	1,107.9	1,125.3	1,143.8	1,176.8	1,186.9	1,249.7	1,296.8	2,843.5	3,245.1	3,897.5	4,632.8	5,194.7
q/q change (%)	1.2%	-0.5%	4.7%	5.8%	9.9%	10.0%	1.6%	1.6%	2.9%	0.9%	5.3%	3.8%	14.6%	14.1%	20.1%	18.9%	12.1%
% of revenue	15.6%	15.5%	14.8%	13.6%	12.4%	12.3%	11.9%	11.4%	11.3%	11.1%	11.0%	10.9%	17.5%	15.8%	13.1%	11.4%	10.9%
Operating income - GAAP	1,829.1	1,810.2	2,047.0	2,513.5	3,182.6	3,560.8	3,820.6	4,129.2	4,348.9	4,491.4	4,828.3	5,064.4	4,781.8	6,942.2	11,303.9	16,790.1	20,398.7
Operating margin (%)	34.4%	33.9%	35.0%	37.4%	39.1%	39.6%	40.5%	41.3%	41.7%	42.2%	42.5%	42.6%	29.5%	33.8%	38.1%	41.4%	42.7%
Operating income - non-GAAP	1,861.7	1,832.4	2,047.0	2,580.9	3,221.4	3,599.6	3,840.8	4,149.4	4,369.1	4,511.6	4,848.5	5,084.6	4,966.8	7,021.7	11,448.9	16,870.9	20,479.5
Operating margin (%)	35.0%	34.3%	35.0%	38.4%	39.6%	40.0%	40.7%	41.5%	41.9%	42.4%	42.7%	42.8%	30.6%	34.2%	38.6%	41.6%	42.9%
Total interest income (net) and other income - GAAP	30.1	26.4	(35.5)	41.7	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	108.2	69.3	66.2	120.0	120.0
Interest income (expense)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other income (expense), net	30.1	26.4	(35.5)	41.7	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	108.2	69.3	66.2	120.0	120.0
Total interest income (net) and other income - non-GAAP	14.1	10.5	(7.5)	(19.2)	(30.8)	(30.8)	(30.8)	(30.8)	(30.8)	(30.8)	(30.8)	(30.8)	53.2	21.7	(88.3)	(123.3)	(123.3)
PBT - GAAP	1,859.2	1,836.6	2,011.6	2,555.1	3,212.6	3,590.8	3,850.6	4,159.2	4,378.9	4,521.4	4,858.3	5,094.4	4,890.0	7,011.5	11,370.1	16,910.1	20,518.7
PBT - non-GAAP	1,875.8	1,842.9	2,039.4	2,561.7	3,190.6	3,568.8	3,810.0	4,118.5	4,338.3	4,480.8	4,817.7	5,053.8	5,020.0	7,043.4	11,360.5	16,747.6	20,356.2
Income tax expense (benefit) - GAAP	290.5	242.6	186.1	277.9	481.9	538.6	539.1	582.3	613.0	633.0	680.2	713.2	596.4	798.1	1,484.5	2,367.4	2,872.6
Income tax expense (benefit) - non-GAAP	264.8	243.6	188.0	281.8	485.8	542.5	543.0	586.2	617.0	636.9	684.1	717.1	632.4	799.4	1,498.1	2,383.1	2,888.3
Effective tax rate (%)	14.1%	13.2%	9.2%	11.0%	15.2%	15.2%	14.3%	14.2%	14.2%	14.2%	14.2%	14.2%	12.6%	11.3%	13.2%	14.2%	14.2%
Net income, cont. ops. - GAAP	1,568.7	1,594.0	1,825.5	2,277.3	2,730.7	3,052.2	3,311.5	3,576.9	3,765.9	3,888.4	4,178.1	4,381.2	4,293.6	6,213.4	9,885.6	14,542.7	17,646.1
Net income, cont. ops. - non-GAAP	1,611.1	1,599.2	1,851.4	2,280.0	2,704.8	3,026.2	3,267.0	3,532.3	3,721.3	3,843.9	4,133.6	4,336.7	4,387.6	6,244.0	9,862.4	14,364.5	17,467.9
Net margin (%)	30.3%	29.9%	31.7%	33.9%	33.3%	33.6%	34.6%	35.3%	35.7%	36.1%	36.4%	36.5%	27.1%	30.4%	33.2%	35.4%	36.6%
EPS - GAAP	\$ 1.24	\$ 1.26	\$ 1.45	\$ 1.81	\$ 2.18	\$ 2.44	\$ 2.66	\$ 2.88	\$ 3.04	\$ 3.15	\$ 3.40	\$ 3.57	\$ 3.29	\$ 4.88	\$ 7.88	\$ 11.72	\$ 14.41
EPS - non-GAAP	\$ 1.27	\$ 1.27	\$ 1.47	\$ 1.82	\$ 2.16	\$ 2.42	\$ 2.62	\$ 2.84	\$ 3.00	\$ 3.11	\$ 3.36	\$ 3.54	\$ 3.36	\$ 4.90	\$ 7.86	\$ 11.58	\$ 14.26

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: LRCX: Projected Balance Sheet

Lam Research Corporation Balance Sheet (\$ in millions; fiscal year ends in June)	C3Q25A Sep-25 2026/1F	C4Q25A Dec-25 2026/2F	C1Q26A Mar-26 2026/3F	C2Q26A Jun-26 2026/4F	C3Q26E Sep-26 2027/1F	C4Q26E Dec-26 2027/2F	C1Q27E Mar-27 2027/3F	C2Q27E Jun-27 2027/4F	C3Q27E Sep-27 2028/1F	C4Q27E Dec-27 2028/2F	C1Q28E Mar-28 2028/3F	C2Q28E Jun-28 2028/4F	CY2024 Dec-24	CY2025 Dec-25	CY2026 Dec-26	CY2027 Dec-27	CY2028 Dec-28
Assets:																	
Cash and cash equivalents	6,693.0	6,180.4	4,750.9	5,579.2	5,716.7	6,037.7	7,119.1	8,001.7	8,977.2	9,952.4	10,475.5	12,383.4	5,665.4	6,180.4	6,037.7	9,952.4	15,856.9
Marketable securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivable, net	3,633.0	3,492.0	4,132.9	5,339.7	5,994.4	6,551.2	6,900.6	7,199.1	7,331.2	7,515.0	8,665.0	8,080.5	3,304.9	3,492.0	6,551.2	7,515.0	8,240.1
Inventory	4,095.1	4,037.7	4,000.0	4,276.1	4,949.0	5,441.5	5,524.2	5,753.6	5,891.5	5,981.1	6,198.3	6,414.9	4,358.2	4,037.7	5,441.5	5,981.1	6,537.7
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	385.6	307.9	413.1	415.7	415.7	415.7	415.7	415.7	415.7	415.7	415.7	415.7	284.4	307.9	415.7	415.7	415.7
Total current assets	14,806.7	14,018.0	13,296.9	15,610.7	17,075.8	18,446.1	19,959.6	21,370.1	22,615.7	23,864.3	25,754.6	27,294.6	13,612.8	14,018.0	18,446.1	23,864.3	31,050.5
PP&E, net	2,510.5	2,711.0	2,853.6	2,956.5	3,202.8	3,480.1	3,768.3	4,079.6	4,400.3	4,721.4	5,064.1	5,419.8	2,313.6	2,711.0	3,480.1	4,721.4	6,129.3
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill	1,688.4	1,725.5	1,743.5	1,757.3	1,757.3	1,757.3	1,757.3	1,757.3	1,757.3	1,757.3	1,757.3	1,757.3	1,622.5	1,725.5	1,757.3	1,757.3	1,757.3
Intangible assets, net	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5
Other non-current assets	2,756.0	2,798.1	2,759.4	3,066.7	3,066.7	3,066.7	3,066.7	3,066.7	3,066.7	3,066.7	3,066.7	3,066.7	2,152.5	2,798.1	3,066.7	3,066.7	3,066.7
Total assets	21,900.2	21,391.2	20,791.9	23,529.7	25,241.2	26,888.7	28,690.5	30,412.2	31,978.5	33,548.2	35,781.2	37,676.9	19,839.9	21,391.2	26,888.7	33,548.2	42,142.3
Liabilities & Shareholders' Equity:																	
Accounts payable	863.2	1,026.9	1,071.6	1,302.5	1,536.9	1,585.0	1,727.0	1,722.5	1,809.7	1,776.2	2,115.0	1,912.2	822.3	1,026.9	1,585.0	1,776.2	1,950.4
Accrued expenses and other current liabilities	2,443.9	2,267.5	2,075.4	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,096.0	2,267.5	2,351.5	2,351.5	2,351.5
Deferred profit	2,646.4	2,164.7	2,091.3	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	1,927.9	2,164.7	2,279.2	2,279.2	2,279.2
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current portion of long-term debt	754.4	754.0	4.1	4.1	4.1	4.1	4.1	4.1	4.1	4.1	4.1	4.1	504.1	754.0	4.1	4.1	4.1
Total current liabilities	6,707.9	6,213.2	5,242.4	5,937.2	6,171.7	6,219.8	6,361.8	6,357.3	6,444.5	6,411.0	6,749.8	6,547.0	5,350.3	6,213.2	6,219.8	6,411.0	6,585.2
Long-term debt	3,729.6	3,729.7	3,730.4	3,730.5	3,730.5	3,730.5	3,730.5	3,730.5	3,730.5	3,730.5	3,730.5	3,730.5	4,478.1	3,729.7	3,730.5	3,730.5	3,730.5
Deferred profit, non-current	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	646.0	667.6	621.6	681.2	681.2	681.2	681.2	681.2	681.2	681.2	681.2	681.2	669.7	667.6	681.2	681.2	681.2
Other long-term liabilities	623.9	635.2	612.8	709.9	709.9	709.9	709.9	709.9	709.9	709.9	709.9	709.9	533.7	635.2	709.9	709.9	709.9
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total liabilities	11,707.5	11,245.7	10,207.1	11,058.8	11,293.2	11,341.3	11,483.3	11,478.9	11,566.0	11,532.6	11,871.4	11,668.5	11,031.9	11,245.7	11,341.3	11,532.6	11,706.8
Preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common stock	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Additional paid-in capital	8,794.5	8,948.4	9,054.2	9,244.4	9,364.0	9,483.6	9,603.2	9,722.8	9,860.3	9,997.8	10,135.3	10,272.9	8,439.9	8,948.4	9,483.6	9,997.8	10,575.4
Total share capital	8,795.8	8,949.7	9,055.5	9,245.7	9,365.3	9,484.9	9,604.4	9,724.0	9,861.6	9,999.1	10,136.6	10,274.1	8,441.2	8,949.7	9,484.9	9,999.1	10,576.7
Treasury stock	(28,759.5)	(30,203.8)	(31,347.7)	(31,597.9)	(32,597.9)	(33,797.9)	(35,197.9)	(36,797.9)	(38,797.9)	(40,797.9)	(42,797.9)	(44,797.9)	(26,024.1)	(30,203.8)	(33,797.9)	(40,797.9)	(48,797.9)
Temporary equity, convertible notes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Retained earnings (accumulated deficit)	30,230.1	31,498.2	32,998.4	34,950.3	37,307.7	39,987.5	42,927.7	46,134.4	49,476.0	52,941.6	56,698.3	60,659.3	26,525.0	31,498.2	39,987.5	52,941.6	68,783.9
Accumulated other comprehensive income (loss)	(73.6)	(98.7)	(121.4)	(127.1)	(127.1)	(127.1)	(127.1)	(127.1)	(127.1)	(127.1)	(127.1)	(127.1)	(134.1)	(98.7)	(127.1)	(127.1)	(127.1)
Plug for earnings	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total shareholders' equity	10,192.8	10,145.4	10,584.8	12,470.9	13,947.9	15,547.4	17,207.1	18,933.4	20,412.5	22,015.6	23,909.8	26,008.4	8,808.0	10,145.4	15,547.4	22,015.6	30,435.5
Total liabilities & shareholders' equity	21,900.2	21,391.2	20,791.9	23,529.7	25,241.2	26,888.7	28,690.5	30,412.2	31,978.5	33,548.2	35,781.2	37,676.9	19,839.9	21,391.2	26,888.7	33,548.2	42,142.3

Source: Company data, Morgan Stanley Research estimates

Exhibit 7: LRCX: Projected Cash Flow Statement

Lam Research Corporation Cash Flow Statement (\$ in millions; fiscal year ends in June)	C3Q25A Sep-25 2026/1F	C4Q25A Dec-25 2026/2F	C1Q26A Mar-26 2026/3F	C2Q26A Jun-26 2026/4F	C3Q26E Sep-26 2027/1F	C4Q26E Dec-26 2027/2F	C1Q27E Mar-27 2027/3F	C2Q27E Jun-27 2027/4F	C3Q27E Sep-27 2028/1F	C4Q27E Dec-27 2028/2F	C1Q28E Mar-28 2028/3F	C2Q28E Jun-28 2028/4F	CY2024 Dec-24	CY2025 Dec-25	CY2026 Dec-26	CY2027 Dec-27	CY2028 Dec-28
Cash flows provided by (used for) operating activities:																	
Net income	\$ 1,568.7	\$ 1,594.0	\$ 1,825.5	\$ 2,277.3	\$ 2,730.7	\$ 3,052.2	\$ 3,311.5	\$ 3,576.9	\$ 3,765.9	\$ 3,888.4	\$ 4,178.1	\$ 4,381.2	\$ 4,293.6	\$ 6,213.4	\$ 9,885.6	\$ 14,542.7	\$ 17,646.1
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>																	
Depreciation and amortization	101.6	103.9	116.3	119.6	119.6	127.7	136.7	138.9	148.4	158.3	168.3	179.1	368.8	401.4	483.3	582.3	739.5
Stock-based compensation expense	97.2	88.5	96.6	104.0	119.6	119.6	119.6	119.6	137.5	137.5	137.5	137.5	317.9	367.2	439.8	514.2	577.6
Tax effect from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss (gain) on equity investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restructuring charges and asset impairments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gain/Loss on disposal of property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	(62.9)	(31.0)	(19.5)	(175.8)	-	-	-	-	-	-	-	-	(277.6)	(265.5)	(195.2)	-	-
Other non-cash items	(1.9)	(20.0)	(2.9)	(8.0)	-	-	-	-	-	-	-	-	(2.8)	(6.0)	(10.9)	-	-
<i>Changes in current assets and liabilities:</i>																	
Accounts receivable	-	-	-	(1,962.1)	(654.7)	(556.8)	(349.4)	(298.4)	(132.1)	(183.9)	(1,150.0)	584.5	303.4	(858.7)	(3,173.6)	(963.8)	(725.1)
Inventory	-	-	-	(93.9)	(672.9)	(492.4)	(82.8)	(229.4)	(137.9)	(89.5)	(217.2)	(216.6)	528.7	(180.7)	(1,259.2)	(539.6)	(556.6)
Income taxes receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	-	-	-	50.2	-	-	-	-	-	-	-	-	(15.5)	(206.7)	50.2	-	-
Accounts payable	-	-	-	417.5	234.4	48.1	142.0	(4.5)	87.2	(33.5)	338.8	(202.9)	125.9	212.0	700.0	191.2	174.2
Accrued expenses and other current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred revenues	-	-	-	(286.4)	-	-	-	-	-	-	-	-	(277.4)	1,147.8	(286.4)	-	-
Other changes in assets and liabilities	76.2	(255.5)	(874.6)	1,014.7	-	-	-	-	-	-	-	-	(807.3)	297.8	140.0	-	-
Net cash provided by operating activities	1,779.0	1,480.0	1,141.4	1,457.2	1,876.7	2,298.3	3,277.6	3,303.1	3,868.9	3,877.3	3,455.6	4,862.8	4,557.7	7,121.9	6,773.7	14,327.0	17,855.7
Cash flows from investing activities:																	
Capital expenditures, net	(185.1)	(260.9)	(331.6)	(188.8)	(365.9)	(405.0)	(424.9)	(450.3)	(469.1)	(479.3)	(511.0)	(534.8)	(503.3)	(906.2)	(1,291.4)	(1,823.5)	(2,147.4)
Transfer of restricted cash and investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase (sale) of available-for-sale securities, net	-	-	-	-	-	-	-	-	-	-	-	-	14.7	-	-	-	-
Purchase of long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of business, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other investing activities	(0.9)	3.1	(3.0)	45.1	-	-	-	-	-	-	-	-	8.8	40.3	42.1	-	-
Net cash used for investing activities	(186.0)	(257.8)	(334.6)	(143.7)	(365.9)	(405.0)	(424.9)	(450.3)	(469.1)	(479.3)	(511.0)	(534.8)	(479.9)	(866.0)	(1,249.3)	(1,823.5)	(2,147.4)
Cash flows from financing activities:																	
Proceeds from (payments of) long-term debt	(1.4)	(1.5)	(751.2)	(1.4)	-	-	-	-	-	-	-	-	(4.0)	(508.4)	(752.5)	-	-
Proceeds from common stock issuances	-	-	13.0	4.4	-	-	-	-	-	-	-	-	10.8	2.7	17.4	-	-
Proceeds from (payments of) short-term debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Payment of dividends to stockholders	(292.0)	(327.5)	(325.8)	(325.3)	(373.3)	(372.4)	(371.3)	(370.2)	(424.3)	(422.8)	(421.5)	(420.2)	(1,082.8)	(1,210.4)	(1,396.8)	(1,588.7)	(1,803.8)
Treasury stock repurchases	(975.8)	(1,466.2)	(1,162.8)	(246.6)	(1,000.0)	(1,200.0)	(1,400.0)	(1,600.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(3,048.8)	(4,169.5)	(3,609.4)	(7,000.0)	(8,000.0)
Other financing activities	(12.4)	69.9	(3.8)	88.5	-	-	-	-	-	-	-	-	120.3	136.7	84.7	-	-
Net cash used for financing activities	(1,281.6)	(1,725.2)	(2,230.6)	(480.3)	(1,373.3)	(1,572.4)	(1,771.3)	(1,970.2)	(2,424.3)	(2,422.8)	(2,421.5)	(2,420.2)	(4,004.5)	(5,748.9)	(5,656.6)	(8,588.7)	(9,803.8)
Effect of exchange rate changes on cash and cash equivalents	(7.1)	(13.3)	(5.0)	(2.1)	-	-	-	-	-	-	-	-	(21.4)	11.3	(7.0)	-	-
Cash and cash equivalents, beginning of period	6,390.7	6,693.0	6,180.4	4,750.9	5,579.2	5,716.7	6,037.7	7,119.1	8,001.7	8,977.2	9,952.4	10,475.5	5,623.3	5,665.4	6,180.4	6,037.7	9,952.4
Change in cash flow due to restatement	(1.8)	3.7	(0.7)	(2.9)	-	-	-	-	-	-	-	-	(9.8)	(3.1)	(3.6)	-	-
Net increase (decrease) in cash and cash equivalents	304.2	(516.3)	(1,428.8)	831.1	137.5	320.9	1,081.4	882.6	975.6	975.2	523.1	1,907.9	51.9	518.2	(139.2)	3,914.8	5,904.5
Cash and cash equivalents, end of period	6,693.0	6,180.4	4,750.9	5,579.2	5,716.7	6,037.7	7,119.1	8,001.7	8,977.2	9,952.4	10,475.5	12,383.4	5,665.4	6,180.4	6,037.7	9,952.4	15,856.9

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
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Global Stock Ratings Distribution

(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

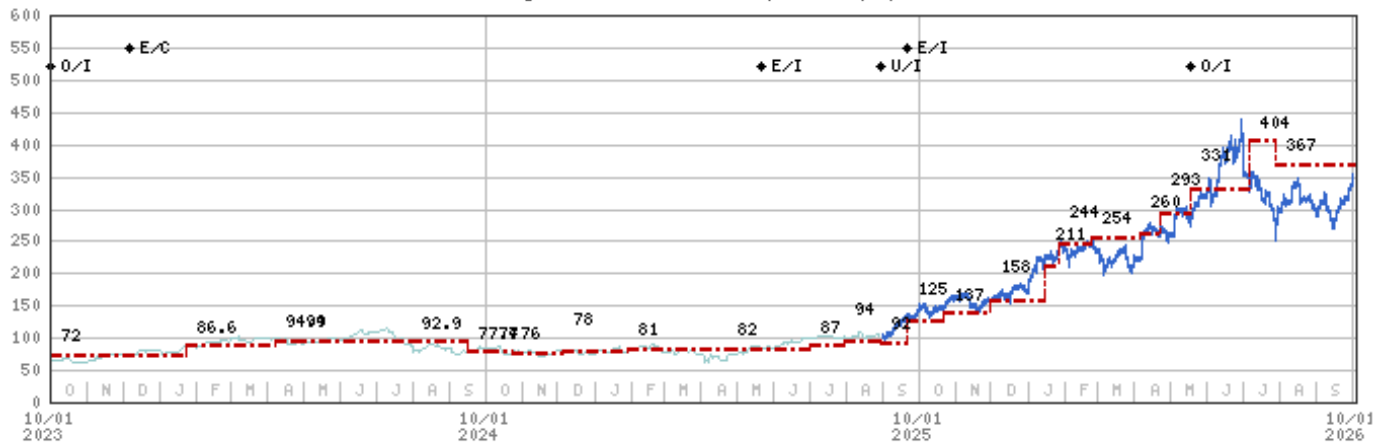
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Lam Research Corp (LRCX.O) - As of 10/04/26 GMT in USD
Industry : Semiconductor Capital Equipment



Stock Rating History: 10/1/21 : O/I; 12/7/23 : E/C; 5/22/25 : E/I; 8/31/25 : U/I; 9/22/25 : E/I; 5/18/26 : O/I

Price Target History: 4/22/21 : 72.6; 10/21/21 : 71; 12/14/21 : 75.5; 1/26/22 : 73; 4/20/22 : 62.5; 7/24/22 : 55; 9/6/22 : 54.3; 10/17/22 : 42.9; 10/19/22 : 40.4; 1/26/23 : 55; 7/26/23 : 72; 1/24/24 : 86.6; 4/8/24 : 94.9; 4/24/24 : 94; 7/31/24 : 92.9; 9/16/24 : 77.4; 10/3/24 : 77; 10/23/24 : 76; 12/5/24 : 78; 1/29/25 : 81; 4/23/25 : 82; 7/1/25 : 87; 7/30/25 : 94; 8/31/25 : 92; 9/22/25 : 125; 10/22/25 : 137; 12/1/25 : 158; 1/15/26 : 211; 1/28/26 : 244; 2/24/26 : 254; 4/5/26 : 260; 4/22/26 : 293; 5/18/26 : 331; 7/6/26 : 404; 7/29/26 : 367

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Semiconductor Capital Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/02/2026)
Shane Brett		
Advanced Energy Industries Inc. (AEIS.O)	O (07/22/2026)	\$304.28
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	\$540.04
Camtek (CAMT.O)	E (12/01/2025)	\$165.19
KLA Corp (KLAC.O)	O (01/15/2026)	\$206.89
Lam Research Corp (LRCX.O)	O (05/18/2026)	\$347.49
MKS Inc. (MKSI.O)	O (08/04/2024)	\$279.15
Nova Ltd (NVMI.O)	E (12/01/2025)	\$396.12
ONTO Innovation Inc (ONTO.N)	O (06/14/2026)	\$327.77
Teradyne Inc (TER.O)	E (07/30/2025)	\$449.04

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